

Specific Contract - II

Indemnity : Definition & Essential Elements

➤ **Meaning of Indemnity:**

The term "Indemnity" is derived from the Latin word "**indemnis**" which means '**to make free from loss**' or '**to compensate for a loss.**'

In legal terms, indemnity refers to a contract in which one party promises to save the other from loss caused to him by the conduct of the promisor himself or by the conduct of another person.

➤ **Statutory Definition (Section 124, Indian Contract Act, 1872)**

> "**A contract of indemnity is a contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself or by the conduct of any other person.**"

This is a contractual obligation, not a tortious one.

It is usually used to protect a party from legal liabilities or damages.

In simple terms, it is a contract where one person agrees to compensate or protect another from any loss or damage that may occur due to the actions of the promisor or a third party.

Example:

A asks B to deliver goods to C and promises that if any loss occurs during delivery, A will compensate B.

- This is a contract of indemnity.
- Nature of Indemnity Contract:
 - It is a special kind of contract under the Indian Contract Act.
 - It is used extensively in insurance, commercial transactions, and agency relationships.
- Nature and Scope of Contract of Indemnity
 - It is a special kind of contract, based on good faith.
 - It creates a primary liability on the indemnifier to compensate the indemnified person for a specific loss.
 - It is used extensively in insurance, commercial transactions, and agency relationships.
 - The indemnifier's liability arises only when loss is incurred, unless otherwise stated.
 - It is not confined only to loss caused by a human; it can include losses caused by events or accidents, if agreed upon.
 - It is used extensively in insurance, commercial transactions, and agency relationships, etc.

➤ **Essential Elements of a Valid Contract of Indemnity:**

To constitute a valid contract of indemnity, the following elements must be present:

i. Two Parties

Indemnifier: The person who promises to compensate.

Indemnity-holder: The person who is protected from loss.

ii. Loss or Damage

The main purpose of this contract is to compensate for a loss. There must be a possibility or occurrence of actual loss due to:

The promisor's actions, or

The actions of a third party.

iii. Promise to Compensate

There must be a clear and specific promise to compensate for loss or damage. The promise can be:

Express (written or spoken), or

Implied (arising from circumstances or conduct).

iv. Legal Formalities

Like any other contract, a contract of indemnity must fulfill the general essentials of a valid contract under Section 10:

Free consent, Lawful object, Lawful consideration, Capacity of parties, etc.

v. Rights of Indemnity-Holder (Section 125, ICA 1872)

The indemnity-holder is entitled to recover from the indemnifier:

- All damages which he may be compelled to pay in any suit.
- All costs he may incur in such suits.
- All sums paid under compromise with the third party (if done in good faith).

vi. Scope of Indemnity

The indemnifier is liable for all damages, costs, and sums that the indemnity-holder may become liable to pay due to the covered incident.

vii. Modes of Creating Indemnity

Express Indemnity: Clearly mentioned in the contract.

Implied Indemnity: Arises from the circumstances of the case or nature of relationship.

viii. Judicial Interpretation

Although Section 124 of the Indian Contract Act gives a narrow definition, Indian courts have expanded its scope.

Landmark Case Laws:

i. Gajanan Moreshwar v. Moreshwar Madan (1942)

Held: Indemnity-holder can compel the indemnifier to make good the loss even before actual payment, if liability has become absolute.

ii. Adamson v. Jarvis (1827)

Held: Agent who acted on principal's instructions and suffered loss is entitled to be indemnified.

Conclusion:

A contract of indemnity is a protective mechanism in commercial law, ensuring that one party does not suffer loss due to actions of another. It is recognized under Indian law with certain rights and obligations that form a part of modern legal transactions.

Guarantee : Definition and Essential Elements

➤ Meaning of Guarantee

A contract of guarantee is a tripartite agreement wherein one person (surety) gives assurance to another (creditor) that a third person (principal debtor) will fulfill an obligation, and if not, the surety will be liable to perform it.

Guarantee is often invoked when-

There is a breach of duty or liability by a person, and

Another person assumes secondary liability to prevent loss or damage.

Although traditionally part of contract law, guarantee is important in tort law when third-party liability or vicarious liability is involved.

➤ **Statutory Definition (Section 126, Indian Contract Act, 1872)**

> **“A contract of guarantee is a contract to perform the promise, or discharge the liability, of a third person in case of his default.”**

In simple words, a contract of guarantee is an agreement where one person (the surety) gives assurance to another (the creditor) that he will fulfill the liability if a third person (the principal debtor) fails to do so.

Example:

A takes a loan from B. C gives a guarantee to B that if A fails to repay the loan, he (C) will repay it. This is a Contract of Guarantee.

Parties to a Contract of Guarantee:

A Contract of Guarantee always involves three parties:

- Creditor – The person who gives credit or loan.
- Principal Debtor – The person who is primarily liable to repay the loan.
- Surety – The person who gives the guarantee and agrees to repay if the principal debtor fails.

All three parties must agree to the contract.

➤ **Nature of Liability in Guarantee**

The surety's liability is secondary and contingent, i.e., it arises only when the principal debtor fails.

The contract must be based on consideration and free consent.

➤ **Essential Elements of a Valid Contract of Guarantee:**

For a contract of guarantee to be valid, the following essential elements must be present:

i. Three Parties and a Tri-partite Agreement:

There must be three parties:

Creditor, Principal Debtor and Surety.

All three must agree with the terms of the contract, although all signatures need not be on the same document.

ii. Consideration:

As per Section 127, anything done or any promise made for the benefit of the principal debtor is a sufficient consideration for the surety.

It is not necessary that the surety should get direct consideration.

iii. Liability of Principal Debtor:

There must be an enforceable liability of the principal debtor. If the principal debtor is not liable, the surety is also not liable.

iv. Consent of Surety:

The surety must give his consent voluntarily. Free consent is essential. If consent is taken by misrepresentation or fraud, the contract is void.

v. No Concealment or Misrepresentation:

There should not be any material concealment of facts by the creditor. If the creditor hides important facts or misleads the surety, the contract becomes voidable.

vi. Writing Not Mandatory (But Advisable):

Unlike English Law, in India, a contract of guarantee can be either oral or written. But for legal clarity and enforceability, a written contract is preferred.

vii. Lawful Object and Consideration:

The contract must have a lawful object, i.e., the purpose of the contract must not be illegal or against public policy.

➤ **Types of Guarantee**

1. Specific Guarantee:

Given for a single transaction or debt. It ends when the transaction ends.

2. Continuing Guarantee:

Given for a series of transactions. It remains valid until revoked by the surety.

Legal Effects:

The surety's liability is secondary. He is liable only when the principal debtor fails.

The creditor can directly sue the surety without suing the principal debtor first.

The surety has the right to be indemnified by the principal debtor for any payment made under the guarantee.

➤ **Rights and Liabilities of Surety**

Surety's Rights:

Right of Subrogation: After paying the debt, the surety steps into the shoes of the creditor.

Right to Indemnity: Surety can recover the amount from the principal debtor.

Right to Securities: Surety can claim benefits of all securities held by the creditor.

Surety's Liability:

Begins the moment the principal debtor defaults.

May be limited or unlimited as per contract terms.

Important Case Law:

Bank of Bihar v. Damodar Prasad (1969)

Held: The surety's liability is immediate and not dependent upon the creditor exhausting remedies against the principal debtor.

State Bank of India v. Premco Dyestuff (1995):

The Supreme Court held that the surety's liability arises immediately upon default by the principal debtor, and the creditor can proceed against the surety without exhausting remedies against the principal debtor.

Conclusion:

A contract of guarantee plays a vital role in promoting trust in commercial transactions. It secures the creditor by providing an additional person responsible for repayment and allows individuals or businesses to access credit facilities more easily. However, the legal requirements must be strictly followed to ensure the contract is valid and enforceable.

Difference between Indemnity and Guarantee

1. Meaning

Indemnity: A contract in which one party promises to compensate the other for the loss suffered due to the conduct of the promisor or a third party.

Guarantee: A contract in which one party promises to discharge the liability of a third person in case of his default.

2. Number of Parties

Indemnity: Only two parties – the indemnifier and the indemnity-holder.

Guarantee: Involves three parties – the creditor, the principal debtor, and the surety.

3. Number of Contracts

Indemnity: Only one contract exists between the two parties.

Guarantee: Three contracts exist:

- a. Between creditor and principal debtor
- b. Between creditor and surety
- c. Between principal debtor and surety

4. Nature of Liability

Indemnity: Liability of the indemnifier is primary and absolute.

Guarantee: Liability of the surety is secondary and contingent, arises only when principal debtor defaults.

5. Time of Liability

Indemnity: Indemnifier is liable when loss occurs.

Guarantee: Surety becomes liable when the principal debtor defaults.

6. Consideration

Indemnity: Consideration moves between indemnifier and indemnity-holder.

Guarantee: Consideration received by the principal debtor is considered sufficient for the surety.

7. Purpose

Indemnity: To protect against loss.

Guarantee: To assure performance or repayment.

8. Example

Indemnity: Insurance contracts (e.g., fire insurance).

Guarantee: Loan surety (e.g., A guarantees B's loan taken from bank).

9. Legal Reference

Indemnity: Section 124 of Indian Contract Act, 1872

Guarantee: Section 126 of Indian Contract Act, 1872

10. Suit for Recovery

Indemnity-holder can sue indemnifier directly for compensation.

Creditor must first approach the principal debtor; only if default happens can he approach the surety.

Difference Between Indemnity and Guarantee

Basis	Indemnity	Guarantee
No. of Parties	2 parties	3 parties
No. of Liability	Primary	Secondary
No. of Contracts	One	Three
Liability Arises When	Loss Occurs	Principal Debtor Defaults
Purpose	To compensate loss	To ensure performance of a contract
Legal Provision	Section 124, ICA 1872	Section 126, ICA 1872
Example	Insurance contract	Surety for loan repayment
Consideration	Between indemnifier & indemnity-holder	Between creditor & principal debtor

Conclusion

Though both indemnity and guarantee deal with protection against loss or default, they differ significantly in structure, parties involved, and nature of liability. A clear understanding of their differences is essential in both contract and tort law, especially when civil liabilities are discussed.

Extent of Surety’s Liability

(Section 128, Indian Contract Act, 1872)

➤ Statutory Provision – Section 128

> “The liability of the surety is co-extensive with that of the principal debtor unless it is otherwise provided by the contract.”

This means that the surety is liable for the same extent and in the same manner as the principal debtor unless there is an express provision in the contract that limits the surety’s liability.

➤ Key Features of Surety’s Liability

a. Co-extensive Liability

The surety’s liability is equal in amount and scope to that of the principal debtor. If the debtor is liable to pay ₹1 lakh, the surety is also liable for ₹1 lakh.

b. Immediate Liability

The creditor is not required to exhaust remedies against the principal debtor first. He may sue the surety directly upon the debtor’s default.

Case Law:

Bank of Bihar v. Damodar Prasad (1969)

The Supreme Court held that the creditor is not bound to first proceed against the principal debtor. Surety’s liability is immediate.

c. Conditional Liability

Surety’s obligation arises only upon default of the principal debtor. Until the debtor defaults, the surety is not liable.

d. Can Be Limited by Contract

If the contract specifies a limited amount, the surety is liable only up to that amount, not the full debt of the principal debtor.

Example: If the principal debt is ₹5 lakhs, but the surety guarantees only ₹2 lakhs, his liability is limited to ₹2 lakhs.

e. Continuing Guarantee

In case of a continuing guarantee, the surety is liable for all debts or transactions under the guarantee until it is revoked.

f. Death of Surety

Unless revoked, a surety’s legal representatives may be liable for debts guaranteed before death.

g. Discharge of Principal Debtor

Discharge of the principal debtor under insolvency laws does not discharge the surety, unless the surety is discharged by the terms of the contract or law.

3. Circumstances that May Affect Surety’s Liability

Situation	Effect on Surety’s Liability
Variation in contract terms without surety’s consent	Surety is discharged.
Release or discharge of principal debtor by creditor’s act	Surety may also be discharged.
Misrepresentation or concealment	Contract is voidable at the surety’s option.
Invalid original contract	No liability on the surety.

4. Conclusion

The surety plays a secondary yet legally binding role in the performance of contractual obligations. His liability under Section 128 is immediate, equal to the principal debtor, and enforceable by the creditor directly. However, the surety may protect himself through specific contract clauses limiting liability or by invoking legal defenses under the Act.

Discharge and Non-Discharge of Surety from Liability(Sections 133 to 139)

➤ **Meaning of Discharge of Surety**

A surety is said to be discharged from liability when his obligation to pay or perform under the contract of guarantee comes to an end due to any legal, contractual, or circumstantial reason.

Discharge may occur:

By acts of the creditor, principal debtor, or surety, or By operation of law.

➤ **Grounds for Discharge of Surety**

The Indian Contract Act, 1872 provides specific provisions (Sections 133–139) under which a surety may be discharged:

1. Revocation by Surety (Sec. 130 & 131)

In case of a continuing guarantee, a surety may revoke his liability for future transactions by giving notice to the creditor.

In case of death of the surety, the guarantee is revoked for future transactions unless otherwise agreed.

2. Variance in Terms of Contract (Sec. 133)

If the terms of the original contract between the creditor and principal debtor are changed without the surety's consent, the surety is discharged.

Case Law:

M.S. Anirudhan v. Thomco's Bank Ltd. (1963)

Any alteration without consent releases the surety.

3. Release or Discharge of Principal Debtor (Sec. 134)

If the creditor releases or discharges the principal debtor through any contract or act, the surety is also discharged.

Example: If the creditor enters into a fresh agreement with the debtor cancelling the old debt, the surety is released.

4. Composition, Compromise, or Time Extension (Sec. 135)

If the creditor:

Makes a compromise, or

Agrees to give more time, or

Agrees to not sue the principal debtor,

Without the surety's consent, the surety is discharged.

5. Impairment of Surety's Remedy (Sec. 139)

If the creditor does anything that impairs the eventual remedy of the surety against the principal debtor (e.g., losing security), the surety is discharged.

Example: If the creditor releases securities held for the debt without the surety's consent, the surety is no longer liable.

6. Creditor's Acts of Negligence

Although not explicitly mentioned, if the creditor is grossly negligent and causes damage to the surety's interest (such as failure to collect payments), the surety may claim discharge under equity principles.

7. Invalid Contract of Guarantee

If the guarantee is obtained by: Misrepresentation (Sec. 142), or Concealment of material facts (Sec. 143), The surety is not liable and is discharged.

8. Novation (Sec. 62 – general principle)

If a new contract is formed between the creditor and the debtor, replacing the old one, and the surety is not a party to this novation, he stands discharged.

➤ Situations Where Surety is Not Discharged

1. Mere Forbearance to Sue (Sec. 137)

If the creditor delays suing the principal debtor, it does not discharge the surety.

Example: Creditor waits two years to sue the debtor — the surety is still liable.

2. Principal Debtor's Insolvency

If the debtor is declared insolvent, the surety's liability remains unless discharged by court order.

3. Debtor's Minority or Lack of Capacity

If the principal debtor is a minor, the surety may still be held liable under the guarantee.

4. Death of Principal Debtor

The death of the principal debtor does not discharge the surety unless the contract specifically provides for it.

5. Partial Discharge

If the creditor partially discharges the principal debtor's obligation, the surety is still liable for the balance amount.

Case Law: Kashiba v. Shripat (1895)

The surety was held liable even though the principal debtor was a minor.

Conclusion:

The Indian Contract Act carefully balances the rights of sureties and creditors. A surety is discharged only in situations where:

His consent is bypassed,

The contract is altered unfairly,

His legal remedy is harmed, or

The principal debtor is released.

Otherwise, mere delay or debtor's incapacity is not sufficient to release the surety from liability.

Rights of Surety(Sections 140 to 147)

A surety, after performing his obligations under the contract of guarantee, is entitled to several rights against the principal debtor, creditor, and even co-sureties.

➤ Rights Against the Principal Debtor

a. Right of Subrogation (Sec. 140)

Once the surety discharges the liability of the principal debtor, he is entitled to step into the shoes of the creditor. This means the surety can recover from the debtor the full amount he has paid.

Example: If A is the surety and pays ₹1 lakh on behalf of B (the debtor), A can recover the full amount from B.

b. Right of Indemnity (Sec. 145)

The surety is entitled to be indemnified by the principal debtor for all sums he has lawfully paid under the guarantee. This is similar to a contract of indemnity, arising impliedly by law.

➤ Rights Against the Creditor

a. Right to Securities (Sec. 141)

If the creditor has obtained any security from the principal debtor, the surety is entitled to claim that security once he pays the debt. Even if the surety is unaware of such security, he can still claim it.

Case Law: State Bank of India v. Indexport Registered (1992) – Surety gets the benefit of all securities held by the creditor at the time of guarantee.

b. Right to Ask for Action Against Debtor

In some cases, the surety may request the creditor to initiate legal action against the principal debtor, although this is not an absolute right under Indian law.

➤ **Rights Against Co-sureties (Discussed in next section)**

When multiple sureties exist, each one has a right to contribution from the others.

➤ **Right to be Relieved**

Before making payment, the surety may sue for an injunction or direction that the principal debtor should discharge the debt and relieve the surety from liability.

Liability of Co-sureties

(Section 146 & 147, Indian Contract Act, 1872)

When more than one person guarantees the same debt, they are known as co-sureties. Their rights and liabilities are governed by the following principles:

I. Equal Contribution (Sec. 146)

When two or more persons are co-sureties for the same debt, they are liable to share the burden equally, unless there is a contract specifying otherwise.

Example: If A, B, and C are co-sureties for ₹90,000, and A pays the entire amount, he can recover ₹30,000 each from B and C.

II. Liability When Co-sureties Are Bound in Different Sums (Sec. 147)

If co-sureties have guaranteed different amounts, their liability is proportional to the maximum amount guaranteed.

Example: A guarantees up to ₹40,000, B up to ₹30,000, C up to ₹30,000.

The total liability is ₹90,000. If one of them pays the full amount, recovery will be in the proportion of 4:3:3.

III. Release of One Co-surety Does Not Discharge Others

If the creditor releases one co-surety, the others are still liable. The released surety may still have to contribute to others unless there is a contrary contract.

IV. Surety Not Liable Beyond the Limit Agreed

A co-surety cannot be compelled to contribute beyond the amount he had agreed to guarantee.

V. Right to Sue Co-sureties

If one co-surety pays more than his share, he has the right to sue the others to recover the excess payment.

➤ **Conclusion:**

A surety has strong legal rights to protect himself after discharging the debt.

These rights ensure fairness and balance in the tripartite relationship among debtor, creditor, and surety.

Co-sureties are equally or proportionally liable, and they also have reciprocal rights of contribution.

Bailment : Definition & Essential Elements

(Section 148 to 171 of the Indian Contract Act, 1872)

➤ **Definition of Bailment [Section 148]**

Bailment is the delivery of goods by one person to another for some purpose, upon a contract that the goods shall be returned when the purpose is accomplished, or otherwise disposed of according to the instructions of the person delivering them.

- The person who delivers the goods is called the **“Bailor”**,
- The person to whom they are delivered is called the **“Bailee”**.

Legal Definition:

> **“A bailment is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them.”**

➤ **Essential Elements of Bailment**

For a valid bailment under the Indian Contract Act, the following essential elements must be present:

1. Delivery of Goods

Bailment involves only movable goods, not immovable property or money.

Delivery can be actual (physical delivery) or constructive (symbolic or implied delivery).

Example: Handing over car keys is constructive delivery of the car.

2. Delivery Must Be for a Purpose

The goods must be delivered for a specific purpose (e.g., safekeeping, repair, transport).

The purpose must be lawful.

3. Contract Between Bailor and Bailee

There must be a contract between the bailor and bailee, express or implied.

In case of gratuitous bailment, no consideration is required.

The terms of return or disposal must be agreed upon.

4. Return or Disposal of Goods

The goods must be returned to the bailor or disposed of as per bailor's instructions, once the purpose is completed.

5. Ownership Not Transferred

Only possession of goods is transferred, ownership remains with the bailor.

6. Acceptance by the Bailee

The bailee must accept the goods knowingly and willingly.

Without acceptance, no bailment exists.

7. Voluntary Delivery

The delivery of goods must be voluntary, not under coercion or force.

Example: If A gives his bike to B for repair and B agrees to return it after the work is done, it is a bailment. A is the bailor and B is the bailee.

Case Law Examples

Chandran v. Chetty (1893): Established that handing over possession for a purpose creates bailment.

Ultzen v. Nicols (1894): When a customer hands over a coat to a waiter, there is an implied contract of bailment.

Important Points to Remember

Bailment is based on trust and responsibility.

Goods must be handled carefully, and bailee must not use them unauthorizedly.

Rights and Duties of Bailor and Bailee

(As per the Indian Contract Act, 1872)

➤ Duties of the Bailor

1. Duty to Disclose Faults (Sec. 150)

The bailor must disclose all known faults or defects in the goods that could interfere with the use or expose the bailee to risks.

If the bailor fails, and the bailee suffers loss, the bailor is liable.

Case Law: Houghland v. R.R. Low (Luxury Coaches) Ltd.

A passenger's luggage was lost due to negligence; held: the bailee was liable, but the bailor must ensure goods are fit for purpose.

2. Duty to Bear Expenses (Sec. 158)

In a gratuitous bailment, the bailor must bear all extraordinary expenses.

In bailment for hire, ordinary expenses are borne by bailee; extraordinary by bailor.

3. Duty to Accept the Goods Back

After the purpose is completed, the bailor must accept the goods back.

4. Duty to Indemnify the Bailee (Sec. 159 & 164)

If the bailor revokes the bailment prematurely, and the bailee suffers loss, the bailor must indemnify him.

Also, if the bailor's title to goods is defective, and the bailee suffers loss, the bailor must indemnify.

➤ Rights of the Bailor

1. Right to Demand Return (Sec. 160 & 161)

The bailor has the right to get back the goods after the purpose is completed or time expires.

2. Right to Compensation

If the bailee uses goods beyond terms or fails to take reasonable care, the bailor can claim compensation.

3. Right to Terminate Bailment (Sec. 153)

If bailee uses the goods inconsistent with the contract, bailor can terminate the bailment.

➤ Duties of the Bailee

1. Duty to Take Reasonable Care (Sec. 151 & 152)

Must take care of goods like an ordinary prudent person.

Not liable for loss if due care is taken and no negligence is proved.

Case Law: Shyam Lal v. Parshadi Lal

Bailee failed to prove he took reasonable care; held liable for loss of goods.

2. Duty Not to Make Unauthorized Use (Sec. 153 & 154)

Using goods beyond purpose or without authority makes bailee liable for damages and termination.

3. Duty Not to Mix Goods (Sec. 155-157)

Bailee must not mix bailor's goods with his own without consent.

If mixed:

With consent – both share in proportion.

Without consent and separable – bailee bears expense.

Without consent and inseparable – bailee liable for full loss.

4. Duty to Return Goods (Sec. 160)

Must return goods when time expires or purpose is completed.

5. Duty to Compensate for Non-Return (Sec. 161)

If bailee fails to return goods on time, he is responsible for loss or destruction.

➤ Rights of the Bailee

1. Right to Compensation (Sec. 164)

For losses due to bailor's defective title or incorrect instructions.

2. Right to Expenses (Sec. 158)

Right to recover necessary and extraordinary expenses incurred.

3. Right to Retain Goods (Lien) (Sec. 170 & 171)

Particular Lien (Sec. 170): Right to retain goods until lawful charges are paid (e.g., tailor keeps stitched clothes).

General Lien (Sec. 171): Bankers, wharfingers, attorneys can retain goods for general balance due.

Case Law: Surya Investment Co. v. S.B.I.

A bank's right of general lien upheld when the customer defaulted.

4. Right to be Indemnified (Sec. 159 & 164)

If bailment is terminated prematurely or losses occur due to bailor's fault.

Conclusion:

The rights and duties of bailor and bailee ensure a fair balance of responsibility and protection in a bailment contract. Both parties must fulfill their legal obligations to maintain trust and avoid liability.

Pledge (Pawn) : Meaning and Essential Elements

(Under Indian Contract Act, 1872 – Sections 172 to 179)

➤ **Meaning and Definition of Pledge**

The contract of Pledge is a special kind of bailment.

Legal Definition – Section 172 of Indian Contract Act:

> **“The bailment of goods as security for payment of a debt or performance of a promise is called a pledge.”**

The person who delivers the goods is called the Pawnor.

The person to whom the goods are delivered is called the Pawnee.

➤ **Nature of Pledge**

Pledge is a contractual bailment where goods are delivered as a security.

The ownership remains with the pawnor; only possession is transferred.

The pawnee has a right to retain the goods until the debt is paid or the promise is fulfilled.

3. Essential Elements of a Valid Pledge

(i) Delivery of Goods

There must be actual or constructive delivery of movable goods from pawnor to pawnee.

Without delivery, there is no valid pledge.

Example: Delivering gold to a bank as security for a loan.

(ii) Purpose – Security for Debt or Promise

The goods must be delivered as a security either:

For repayment of a loan/debt, or

For the performance of a promise.

(iii) Movable Property Only

Only movable goods can be pledged (e.g., gold, jewellery, documents, shares).

Immovable property cannot be pledged.

(iv) Ownership Not Transferred

The pawnor retains ownership.

Only possession is temporarily transferred to the pawnee.

(v) Delivery Must Be Voluntary

Delivery should be voluntary and with mutual consent.

Forced or accidental delivery does not constitute a pledge.

(vi) Right to Redeem

The pawnor has the right to redeem the goods upon payment of the debt or performance of the promise.

➤ **Illustration**

A takes a loan from B and delivers his gold watch as security. This is a valid pledge. A is the pawnor and B is the pawnee.

➤ **Case Law**

Lallan Prasad v. Rahmat Ali (1967 AIR 1322)

Facts: The defendant received a loan against a pledge but later failed to return it.

Held: The pawnee has the right to retain the goods until the loan is repaid.

Bank of Bihar v. State of Bihar (1971 AIR 1210)

Held: A pledge is not valid without delivery. Constructive delivery (like handing over keys or documents of control) can be valid.

Distinction Between Bailment and Pledge

Basis of Distinction	Bailment	Pledge (Pawn)
Definition	Bailment is the delivery of goods for a specific purpose under a contract.	Pledge is the bailment of goods as security for repayment of debt or performance of a promise.
Purpose	Goods are delivered for safekeeping, repair, transport, etc.	Goods are delivered specifically as security for a loan or obligation.
Right to Use the Goods	The bailee may use the goods if permitted by the bailor.	The pawnee has no right to use the goods pledged.
Right of Sale	The bailee has no right to sell the goods.	The pawnee can sell the goods after giving reasonable notice if the pawnor defaults.
Consideration	May or may not involve consideration.	Always involves a loan or promise (i.e., consideration is essential).
Nature of Contract	Bailment is a general contract.	Pledge is a special type of bailment.
Rights of Retention	Bailee has particular lien in specific cases.	Pawnee has right of retention over goods until debt is repaid.
Applicable Law	Sections 148 to 171 of the Indian Contract Act, 1872	Sections 172 to 179 of the Indian Contract Act, 1872
Example	Giving a car for repair or luggage in hotel custody.	Pledging gold to bank for obtaining a loan.

Summary:

All pledges are bailments, but not all bailments are pledges.

Pledge is more restrictive in scope and is always tied to a financial obligation.

Distinction Between Bailment and Pledge

➤ **Definition**

Bailment is the delivery of goods by one person to another for a specific purpose, upon a contract, to be returned after the purpose is fulfilled.

Pledge is a type of bailment in which goods are delivered as a security for the repayment of a debt or performance of a promise.

Purpose

In bailment, the purpose may be safekeeping, transportation, repair, etc.

In pledge, the only purpose is to keep the goods as security for a loan or obligation.

Right to Use the Goods

A bailee may use the goods if permitted by the bailor.

A pawnee (the person to whom goods are pledged) cannot use the goods.

Right to Sell the Goods

A bailee has no right to sell the goods under any circumstances.

A pawnee has the right to sell the goods if the pawnor fails to repay the loan after giving due notice.

Consideration

Bailment may or may not involve consideration.

Pledge always involves a consideration, i.e., loan or promise.

Nature of the Contract

Bailment is a general contract and applies to many purposes.

Pledge is a special kind of bailment, only for security.

Right of Retention

A bailee has only a particular lien – can retain goods for specific charges.

A pawnee has a broader right to retain the goods till full payment.

Applicable Law

Bailment is governed by Sections 148 to 171 of the Indian Contract Act, 1872.

Pledge is governed by Sections 172 to 179 of the same Act.

Example:

Bailment: Giving clothes to a dry cleaner.

Pledge: Pledging gold ornaments to a bank for a loan.

Conclusion:

While both bailment and pledge involve the transfer of possession of goods, pledge is always for a security purpose and gives the pawnee more legal rights, including the right to sell the goods in case of default.

Agency – Definition of Agency

(Indian Contract Act, 1872 – Sections 182 to 238)

1. Meaning of Agency

The concept of agency arises when a person (agent) is authorized to act on behalf of another person (principal), creating legal relations with third parties.

Basic Idea:

> "He who acts through another is deemed to act himself."

Agency is fundamental to business law, allowing companies, firms, and individuals to operate through others.

2. Definition of Agency – Section 182 of the Indian Contract Act, 1872

> “An agent is a person employed to do any act for another or to represent another in dealings with third persons.”

The person for whom such act is done or who is represented is called the principal.

3. Who is an Agent?

An agent is someone who has the authority to act on behalf of another (the principal) in creating, modifying, or terminating legal relations with third parties.

Examples:

A lawyer representing a client in court

A broker buying shares on behalf of a customer.

A travel agent booking tickets on behalf of a traveler.

4. Essentials of a Valid Agency Relationship

1. Agreement between Principal and Agent

There must be mutual consent between the agent and the principal.

2. Competency of Principal

The principal must be competent to contract (i.e., of sound mind and of majority age).

The agent need not be competent, even a minor can act as an agent (but cannot be held personally liable).

3. Authority to Represent

The agent must act within the scope of authority given by the principal.

4. Intention to Create Legal Relationship

Both parties must intend that the agent's acts will legally bind the principal.

5. Legal Status of Agent's Acts

All acts done by the agent within authority are legally binding on the principal.

The principal is liable for contracts entered into by the agent on their behalf.

6. Case Law:

Pannalal Jankidas v. Mohanlal (AIR 1951 SC 144)

Facts: The agent gave wrong information to a third party.

Held: The principal was liable for the agent's act, as it was within the scope of authority.

Illustration:

A authorizes B to buy 100 bags of rice on his behalf. B, acting as A's agent, buys the rice from C. The contract between B and C is binding on A, as B acted as an agent.

Conclusion

An agency is a legal relationship in which the agent acts as an extension of the principal. It plays a crucial role in both commercial and personal transactions, ensuring business can be conducted efficiently through representation.

Kinds (Types) of Agents

(Under Indian Contract Act, 1872 – Section 182 and related provisions)

An agent is a person employed to act on behalf of another (principal) to create legal relations with third parties. Agents may be classified based on the scope of authority, functions performed, or mode of appointment.

1. Based on Scope of Authority

(a) Special Agent

Appointed to perform a specific act or transaction.

Authority is limited to that act only.

Once the act is done, the agency ends.

Example: A is appointed by B to sell a particular house. A is a special agent.

(b) General Agent

Authorized to perform a series of acts or a general course of business on behalf of the principal.

Third parties can assume the agent has authority to do everything ordinarily done in such a role.

Example: A manager of a shop is a general agent.

(c) Universal Agent

Appointed to do all acts that the principal can lawfully delegate.

Has unlimited authority to act on behalf of the principal.

Example: A person given a general power of attorney is a universal agent.

2. Based on Nature of Work

(a) Broker

An agent who brings two parties together for a contract, usually in buying/selling.

Does not have possession of goods.

Example: A real estate broker arranges the sale of property.

(b) Commission Agent

Buys or sells goods on behalf of the principal and earns a commission.

May or may not have possession of goods.

(c) Del Credere Agent

Acts like a commission agent but also guarantees payment from the buyer.

Takes extra commission for the guarantee.

Liable to the principal if the buyer defaults.

Case Law: *Firbank's Executors v. Humphreys*

– A del credere agent guaranteed payment but buyer defaulted. Held liable.

(d) Auctioneer

Appointed to sell goods by auction.

Is an agent of the seller before the fall of the hammer, and of the buyer after the bid is accepted.

(e) Banker

Acts as an agent when collecting cheques, bills, etc., or managing investments.

(f) Factor

Has possession of goods and can sell them in his own name, but for the principal's benefit.

Can pledge goods also, unlike a broker.

(g) Forwarding Agent

Arranges transportation and forwarding of goods on behalf of the principal.

3. Based on Mode of Appointment

(a) Express Agent

Appointed through an express agreement, either orally or in writing.

(b) Implied Agent

Agency created by conduct, relationship, or circumstances.

(c) Sub-Agent

Appointed by the original agent, acts under the agent's control.

The principal is liable for his acts only if properly appointed.

(d) Co-Agent

Two or more agents appointed jointly to act together for the principal.

(e) Substituted Agent

Not a sub-agent, but appointed with the principal's authority to act directly under the principal.

Conclusion

There are various types of agents depending on the extent of authority and nature of work. Knowing the kind of agent involved is important for determining liability, authority, and the rights of third parties.

Duties of an Agent

(Indian Contract Act, 1872 – Sections 211 to 221)

An agent is legally bound to perform certain duties toward the principal. These duties are crucial for maintaining trust and accountability in an agency relationship.

(i) Duty to Follow Principal's Instructions (Sec. 211)

The agent must act according to the directions given by the principal.

If no instructions are given, the agent must act according to the custom prevailing in the business.

Case Law: Lilley v. Doubleday

– Agent deviated from instructions and principal suffered a loss. Agent was held liable.

(ii) Duty to Exercise Reasonable Skill and Diligence (Sec. 212)

The agent must act with reasonable care, skill, and competence.

If he fails, he is liable for any loss caused.

(iii) Duty to Render Accounts (Sec. 213)

The agent must maintain proper accounts of transactions and provide them to the principal when demanded.

(iv) Duty to Communicate (Sec. 214)

In case of difficulty or emergency, the agent must take instructions from the principal.

(v) Duty Not to Deal on His Own Account (Sec. 215)

Agent must not deal in the subject matter of agency for his personal benefit without the principal's consent.

Otherwise, the principal can repudiate the transaction.

(vi) Duty Not to Make Secret Profit (Sec. 216)

Agent cannot make any secret profit from the agency without the knowledge of the principal.

Principal can recover such profit.

(vii) Duty Not to Disclose Confidential Information

The agent must keep information confidential, even after the end of the agency.

(viii) Duty Not to Delegate (Sec. 190)

An agent cannot delegate his authority unless:

It is customary, or Necessary, or The principal allows it.

2. Authority of Agent

Authority of an agent means the legal power given by the principal to act on their behalf. This authority may be express, implied, or arise by law or necessity.

(i) Express Authority (Sec. 186)

Given by words, written or spoken.

Example: Giving a power of attorney to an agent to sign contracts.

(ii) Implied Authority (Sec. 187)

Inferred from:

The conduct of the principal

Circumstances of the case

Relationship of parties (e.g., employer-employee)

Examples of implied authority:

A shop manager has implied authority to buy goods for the shop.

An agent in an emergency can take necessary actions.

(iii) Ostensible or Apparent Authority

Not actually given, but appears to third parties that the agent has such authority.

The principal is bound if the third party acts in good faith.

Case Law: Freeman & Lockyer v. Buckhurst Park Properties

– Company was bound by acts of an agent who had apparent authority.

(iv) Authority in Emergency (Sec. 189)

In urgent situations, an agent can act to protect the principal's interest, even beyond actual instructions.

(v) Authority to Do Lawful Things (Sec. 188)

An agent's authority includes all lawful means to achieve the objective of agency.

Conclusion

The duties of the agent ensure faithful execution of responsibilities.

The authority of the agent defines the extent of his legal power, and violations can lead to personal liability.

➤ **Creation of Agency (Kinds of Agency)**

(Relevant Sections: 182 to 187, Indian Contract Act, 1872)

Agency may be created in various ways, either through the will of the parties or operation of law. These are called modes or kinds of creation of agency:

(i) Agency by Express Agreement (Sec. 186)

Created when the principal expressly appoints an agent through written or spoken words.

Example: Giving Power of Attorney to someone.

(ii) Agency by Implied Agreement (Sec. 187)

Created by conduct, relationship, or circumstances.

Types:

Agency by Estoppel: If the principal has by his conduct allowed others to believe that a person is his agent, he is estopped from denying the agency.

Case: Freeman & Lockyer v. Buckhurst Park Properties

Agency by Holding Out: Similar to estoppel, but the representation is made by continuing conduct over time.

Agency by Necessity: When someone acts on behalf of another in an emergency to prevent loss, even without authority.

Example: A carrier selling perishable goods to avoid spoilage.

(iii) Agency by Ratification (Secs. 196–200)

When a person acts without authority, and the principal approves (ratifies) the act later, the agency is created retrospectively.

Ratification must be: Of the entire act, With full knowledge, Within a reasonable time.

Case: Keighley, Maxsted & Co. v. Durant

(iv) Agency by Operation of Law

Created automatically by law under special circumstances.

Example: A partner is the agent of the firm.

Example: A wife is considered the agent of her husband to buy household necessities.

➤ **Termination of Agency**

(Relevant Sections: 201 to 210, Indian Contract Act, 1872)

An agency can be terminated by the act of parties or by operation of law.

➤ **By Act of the Parties:**

(i) By Agreement

The principal and agent may mutually agree to terminate the agency.

(ii) Revocation by Principal (Sec. 203)

The principal may revoke authority before it is exercised.

Cannot revoke after authority is partly exercised.

(iii) Renunciation by Agent (Sec. 206)

The agent may resign from the agency after giving reasonable notice.

➤ **By Operation of Law:**

(i) Completion of Business

When the object for which the agency was created is fulfilled.

(ii) Expiry of Time

When the agency was created for a specific time period, and that time lapses.

(iii) Death or Insanity

Agency is terminated automatically if either party dies or becomes of unsound mind.

(iv) Insolvency of Principal (Sec. 201)

If the principal is declared insolvent, the agency is terminated.

(v) Destruction of Subject Matter

If the goods or property involved in the agency is destroyed, the agency ends.

➤ **Notice of Termination (Sec. 208):**

Termination is effective:

Against the agent, when he becomes aware of it.

Against third parties, when they are informed.

Case Law Highlights:

Bank of India v. Harshadrai (AIR 1989):

Bank's agent continued to act after revocation. Held: Principal not liable as revocation was valid.

Great Northern Railway v. Swaffield:

Horse sent to railway station, agent took care without authority. Held: Agency by necessity.

Conclusion:

The creation and termination of agency are governed by legal principles designed to protect the interests of both the principal and third parties.

Meaning and Elements of Contract of Sale

(Relevant Section: Section 4, Sale of Goods Act, 1930)

✔ Definition of Contract of Sale – Section 4(1):

> **“A contract of sale of goods is a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer for a price.”**

Thus, in a contract of sale, there is either:

Sale (immediate transfer), or

Agreement to sell (future or conditional transfer).

✔ Essential Elements of a Valid Contract of Sale:

1. Two Parties

A seller and a buyer are essential.

A person cannot buy his own goods.

2. Transfer of Property

There must be a transfer of ownership (property) in goods, not merely possession.

3. Goods

Subject matter must be 'goods', i.e., movable property (excluding money and actionable claims).

Types: Existing, future, specific, ascertained, etc.

4. Price

There must be consideration in money.

Barter or exchange is not a sale.

5. Essential Elements of a Valid Contract (Sec. 10, Indian Contract Act)

Free consent, lawful object, competency, etc., must be present.

✔ Case Law:

Badridas v. State of M.P. (1977):

Held that a sale requires agreement + transfer of property for price.

2. Sale and Agreement to Sell (Section 4(3))

The distinction between these two is crucial, as it determines ownership and risk.

✔ A. Sale

Property in goods is transferred immediately.

It is an executed contract.

✓ B. Agreement to Sell

Property in goods is to be transferred at a future time or subject to conditions.

It is an executory contract.

Difference Between Sale and Agreement to Sell

Basis	Sale	Agreement to Sell
Ownership	Immediately transferred	To be transferred future
Risk	Buyer bears the risk	Seller bears the risk
Nature	Executed contract	Executory contract
Remedies for Breach	Buyer can sue for goods	Buyer can sue only for damages
Consequence of Insolvency	Buyer gets goods from assignee	Only has right to claim damages
Legal Nature	Creates rights in rem	Creates rights in personam

✓ Illustration:

A sells 100 bags of rice to B. Property passes at once. This is a sale.

A agrees to sell 100 bags after harvest. This is an agreement to sell.

✓ Conversion of Agreement into Sale (Sec. 4(4)):

> "An agreement to sell becomes a sale when the time elapses or the conditions are fulfilled."

Conclusion:

Understanding the contract of sale and the difference between sale and agreement to sell is vital for dealing with ownership, liability, and risk in goods transactions. These concepts are foundational under the Sale of Goods Act, 1930.

Difference Between Sale and Agreement to Sell

(Section 4(3) of the Sale of Goods Act, 1930)

1. Transfer of Ownership

- Ownership of goods is immediately transferred from seller to buyer.
- Ownership is to be transferred at a future date or on fulfillment of a condition.

2. Nature of Contract

- It is an executed contract.
- It is an executory contract.

3. Risk of Loss

- Risk passes to the buyer, even if goods are not delivered.
- Risk remains with the seller until sale becomes complete.

4. Remedies for Breach

- The buyer can sue for delivery of goods or specific performance.
- Only damages can be claimed for non-performance.

5. Rights of Buyer

- Buyer gets a real right (right in rem) over the goods.

- Buyer gets only a personal right (right in personam) against the seller.

6. Insolvency of Buyer

- If buyer becomes insolvent, the seller must deliver goods, as ownership is already transferred.
- Seller can refuse to deliver goods unless paid.

7. Insolvency of Seller

- Buyer can recover goods from the official receiver or assignee.
- Buyer can claim only damages, not goods.

8. Legal Effect

- It creates rights and liabilities at once.
- It creates future obligations.

Illustration:

Sale: A sells a car to B and hands it over. Ownership is transferred immediately.

Agreement to Sell: A agrees to sell a car to B after registration is done. Ownership passes later.

Legal Reference:

> Section 4(3), Sale of Goods Act, 1930:

"Where under a contract of sale the property in the goods is transferred from the seller to the buyer, the contract is called a sale; where the transfer is to take place at a future time or subject to some condition, it is called an agreement to sell."

Difference Between Sale and Agreement to Sell

1. Transfer of Ownership

- Sale: Ownership of goods is transferred from the seller to the buyer immediately.
- Agreement to Sell: Ownership is to be transferred at a future date or on fulfillment of a condition.

2. Nature of Contract

- Sale: It is an executed contract (completed transaction).
- Agreement to Sell: It is an executory contract (yet to be performed).

3. Risk of Loss

- Sale: The buyer bears the risk, even if the goods are not delivered.
- Agreement to Sell: The seller bears the risk until ownership is transferred.

4. Remedies for Breach

- Sale: The buyer can sue for delivery or specific performance.
- Agreement to Sell: Only damages can be claimed for breach.

5. Rights of Buyer

- Sale: Buyer gets a right in rem (right over goods).
- Agreement to Sell: Buyer gets a right in personam (right to claim compensation).

6. Insolvency of Buyer

- Sale: The seller must deliver the goods; buyer owns them.
- Agreement to Sell: The seller can withhold delivery unless payment is made.

7. Insolvency of Seller

- Sale: Buyer can recover goods from the official receiver.
- Agreement to Sell: Buyer can only claim damages, not goods.

8. Legal Effect

- Sale: It creates legal rights and obligations immediately.
- Agreement to Sell: It creates future rights and obligations.

9. Ownership and Possession

- Sale: Ownership and possession may or may not go together.
- Agreement to Sell: Usually, neither ownership nor possession is transferred yet.

10. Conversion into Sale

- Sale: Already a completed transaction
- Agreement to Sell: Becomes a sale when time elapses or conditions are fulfilled (Section 4(4), Sale of Goods Act).

Caveat Emptor (Let the Buyer Beware)

(Section 16 of the Sale of Goods Act, 1930)

Meaning:

The principle of Caveat Emptor means “let the buyer beware”. It is the duty of the buyer to be cautious while buying goods and check the quality and suitability.

General Rule:

The seller is not liable if the goods turn out to be defective or unsuitable, unless the buyer made the purpose known or relied on the seller’s skill.

Exceptions to Caveat Emptor:

- When the buyer relies on the seller’s skill or judgment.
- When the seller makes false representations
- Sale by description – goods must match the description.
- Sale by sample – goods must match the sample.
- Sale of goods by usage of trade.
- Sale of dangerous goods – seller must warn.

Case Law:

Ward v. Hobbs – Pigs sold at auction without disclosure of illness. Held: Caveat Emptor applies, no liability.

2. Condition

(Section 12(2), Sale of Goods Act)

Meaning:

A condition is a fundamental term of the contract. Breach of condition allows the aggrieved party to terminate the contract and claim damages.

Examples:

Fitness for a particular purpose.

Goods shall correspond with description.

Remedy for Breach:

Buyer may reject the goods and rescind the contract.

3. Warranty

(Section 12(3), Sale of Goods Act)

Meaning:

A warranty is a collateral term of the contract. Breach of warranty gives the right to claim damages but not to reject the goods.

Examples:

Guarantee of spare parts.

After-sale service.

Remedy for Breach:

Buyer can claim compensation, but cannot cancel the sale.

Difference Between Condition and Warranty**1. Importance:**

Condition: Essential to the contract.

Warranty: Secondary to the contract.

2. Remedy:

Condition: Breach leads to contract termination + damages.

Warranty: Only damages can be claimed.

3. Conversion:

A condition can be treated as warranty (Section 13).

A warranty cannot be treated as condition.

4. Sale by Description(Section 15, Sale of Goods Act)**Meaning:**

When goods are sold by description, they must conform exactly to the description provided by the seller.

Conditions for Application:

1. Buyer relies on description.

2. Goods are unascertained at the time of contract.

Example:

If A orders "Indian Basmati Rice" and B supplies "ordinary rice", A can reject the goods.

Case Law:

Varley v. Whipp – Machine was bought based on description. It didn't match. Held: Buyer can reject.

5. Sale by Sample

(Section 17, Sale of Goods Act)

Meaning:

A sale is said to be by sample when a sample is shown, and the bulk of goods must correspond with the sample.

Implied Conditions in Sale by Sample:

1. Goods shall correspond with the sample.
2. Buyer shall have a reasonable opportunity to compare.
3. Goods shall be free from hidden defects.

Case Law:

Drummond & Sons v. Van Ingen – Bulk of cloth did not match the sample. Held: Breach of condition.

Conclusion

These concepts — Caveat Emptor, Conditions, Warranties, and Sales by Description/Sample — are vital for regulating buyer-seller rights and protecting consumer interest under the Sale of Goods Act, 1930.

Meaning of the Maxim: "Nemo Dat Quod Non Habet"

> **Literal Meaning:** "No one can give what he does not have."

Legal Meaning: A person who is not the owner of goods, or does not have the authority of the owner, cannot transfer a better title than he himself has.

- ◆ Section 27 of the Sale of Goods Act, 1930

Unless the seller has the authority or consent of the true owner, the buyer acquires no better title than the seller.

✓ Illustration:

If X steals a bike and sells it to Y, then even if Y buys it in good faith, the true owner (Z) can recover the bike from Y.

Exceptions to the Rule (When Buyer Gets Good Title)

Despite the general rule, certain exceptions exist where a person not having title can still transfer good title to the buyer.

1. Sale by a Mercantile Agent

If the agent is in possession of goods with the owner's consent, and sells them in the ordinary course of business, the buyer gets good title.

Condition: Buyer must act in good faith and without notice of seller's lack of authority.

Legal Provision: Section 27, Explanation.

2. Sale by Co-owner in Possession

If one co-owner is in sole possession and sells the goods, the buyer gets good title if:

The possession was with consent of the others, and

Buyer acted in good faith.

Legal Provision: Section 28.

3. Sale by a Person in Possession under Voidable Contract

If a person gets goods under a voidable contract (e.g., fraud, misrepresentation) and sells them before rescission, the buyer gets good title.

Legal Provision: Section 29.

Condition: Buyer must act in good faith.

4. Sale by Seller in Possession after Sale

If the seller, after selling goods, continues to possess them, and resells to another buyer in good faith, the second buyer gets good title.

Legal Provision: Section 30(1).

5. Sale by Buyer in Possession before Transfer of Ownership

If the buyer obtains possession (not ownership) of goods and resells them before ownership passes, the new buyer gets good title if:

He buys in good faith,

Without notice of the original seller's rights.

Legal Provision: Section 30(2).

6. Estoppel

If the true owner, by conduct or representation, leads the buyer to believe that the seller has authority to sell, he is estopped from denying the seller's authority.

Buyer gets good title.

7. Sale by Finder of Goods

If a finder of goods sells them under legal conditions (e.g., owner cannot be found, goods are perishable), the buyer gets good title.

Based on general law and Indian Contract Act, Sec. 71.

8. Sale by Official Receiver or Liquidator

Sale of goods by insolvency officers or court authorities passes a valid title to the buyer.



Important Case Law

1. Cundy v. Lindsay (1878)

Goods sold under identity fraud; buyer didn't get good title.

Held: Nemo dat applied — seller had no title.

2. Folkes v. King (1923)

Mercantile agent sold goods without authority; buyer acted in good faith.

Held: Buyer got good title under exception.

Conclusion

The rule of “Nemo Dat Quod Non Habet” protects the rights of the true owner, but its exceptions balance fairness for innocent buyers acting in good faith.

Indian Partnership Act – Nature and Definition of Partnership

1. Introduction to the Indian Partnership Act, 1932

The Indian Partnership Act, 1932 governs the law relating to partnerships in India.

It came into force on 1st October 1932.

It defines the rights and duties of partners inter se (among themselves) and between the firm and third parties.

2. Definition of Partnership (Section 4)

> **"Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."**

This definition contains key elements that must be fulfilled for a valid partnership.

3. Essential Elements of a Partnership

1. Association of Two or More Persons

There must be at least two persons to form a partnership.

Maximum number (as per Companies Act, 2013):

50 persons in general business.

2. Agreement Between Persons

Partnership must be based on an agreement (oral or written) between the partners.

This agreement is called a Partnership Deed.

3. Existence of Business

The purpose of partnership must be to carry on a lawful business.

Mere joint ownership of property is not a partnership unless there is a business activity.

4. Sharing of Profits

The agreement must be to share profits.

Sharing of losses is not mandatory but may be agreed upon.

Mere profit-sharing is not conclusive proof of partnership (see next point).

5. Mutual Agency

The business must be carried on by all or any of them acting for all.

This is the real test of partnership.

Each partner is both an agent and a principal for the others.

4. Legal Status of a Partnership Firm

A partnership firm is not a separate legal entity from its partners.

It does not have a separate legal personality like a company.

The firm is only a collective name for the partners.

5. Types of Partnership

Though not asked directly here, knowing this helps understand nature:

Partnership at Will

Particular Partnership

General Partnership

Limited Liability Partnership (governed under LLP Act, 2008)

6. Case Laws

1. Cox v. Hickman (1860)

Held: Sharing of profits is not conclusive proof of partnership unless mutual agency exists.

2. Molloo, March & Co. v. Court of Wards (1872)

Mutual agency is the true test of partnership.

✓ Conclusion

For a valid partnership under the Indian Partnership Act, 1932:

There must be an agreement between two or more persons,

To carry on a business,

With the intention to share profits, and

Each partner must be capable of acting as an agent for the others.

KINDS OF PARTNERS

Partners in a firm may be classified based on their participation, liability, and visibility in the firm's activities.

◆ A. Based on Participation

1. Active Partner (Ostensible Partner)

Takes active part in day-to-day management.

Liable for all acts of the firm.

2. Sleeping Partner (Dormant Partner)

Invests capital but does not participate in management.

Liable to third parties like other partners.

◆ B. Based on Representation

3. Nominal Partner

Does not contribute capital or take part in management.

Allows the firm to use their name.

Liable to third parties.

4. Partner in Profits Only

Shares only profits, not losses.

Liable to third parties like other partners.

5. Sub-Partner

Not a partner in the firm.

Shares profits from another partner's share.

No legal relation with the firm.

6. Partner by Estoppel or Holding Out

Not a real partner, but represents himself as one or allows others to do so.

Liable to third parties under Section 28.

➤ RIGHTS OF PARTNERS

(As per Indian Partnership Act, Sections 9 to 17)

1. Right to Take Part in Business

Every partner has the right to participate in management.

2. Right to be Consulted

All decisions must be taken with consent of all or majority.

3. Right to Access Books and Records

Every partner has the right to inspect and copy accounts.

4. Right to Share Profits

Equal sharing unless agreed otherwise.

5. Right to Interest on Capital and Loan

Interest on capital only if firm earns profits.

Interest on loan @ 6% per annum is allowed even if no profit.

6. Right to Indemnity

Partner has a right to be reimbursed for expenses made in ordinary course or emergencies.

7. Right to Use Firm's Property

For firm's purposes only, not for personal use.

8. Right to Retire

With consent of others or as per agreement or partnership at will.

9. Right to Act in Emergency

Can take actions to protect the firm, and recover expenses.

➤ DUTIES OF PARTNERS

(Section 9 to 13)

1. Duty to Act Honestly and in Good Faith

Every partner must act in the best interest of the firm.

2. Duty to Carry on Business to Greatest Common Advantage

No partner should gain personal profit at firm's expense.

3. Duty to Render True Accounts

Must maintain honest and full disclosure of accounts.

4. Duty to Indemnify for Losses Caused by Fraud

Partner is liable to compensate the firm if fraud is committed.

5. Duty Not to Compete

Cannot carry on a competing business. If done, must pay profits earned.

6. Duty to Share Losses

Losses must be shared equally, unless agreed otherwise.

7. Duty to Attend Diligently

Should take active interest and care in running the firm.

8. Duty Not to Assign His Interest

Cannot transfer his share without the consent of other partners.

Important Case Laws

1. Cox v. Hickman (1860) – Partnership is determined by mutual agency, not just profit-sharing.

2. Bentley v. Craven (1853) – Partner made secret profits from firm's business. Held: Must return to the firm.

Doctrine of Holding Out

(Section 28, Indian Partnership Act, 1932)

Meaning:

The Doctrine of Holding Out applies when a person, who is not a partner, is represented as a partner by words, conduct, or consent, and a third party acts on that belief.

That person becomes liable as a partner to the third party.

Conditions to Apply the Doctrine:

1. Representation:

The person represents himself or allows himself to be represented as a partner.

2. Reliance by Third Party:

A third party believes the representation and gives credit or enters into a contract.

3. Consent or Knowledge:

Either active representation or knowing silence (i.e., failing to deny) is enough.

◆ Legal Consequence:

Such a person is liable to third parties as if he were a real partner, though not entitled to profit from the firm.

◆ Exceptions to Doctrine:

1. Insolvent Person:

Once declared insolvent, no longer liable even if name continues.

2. Deceased Partner:

Estate of a deceased partner is not liable if the firm continues using the name.

◆ Case Law:

Lake v. Duke of Argyll (1844)

A person allowed his name to be used as a partner. Held: Liable to third parties under the doctrine of holding out.

✓ 2. Minor as a Partner in a Firm

(Section 30, Indian Partnership Act, 1932)

◆ General Rule:

A minor (below 18 years) cannot become a full partner, but under Section 30, can be admitted to the benefits of an existing partnership with consent of all partners.

◆ Rights of a Minor Partner:

1. Right to Share Profits:

Minor is entitled to his agreed share of profits.

2. Right to Inspect Accounts:

Minor can access and inspect the accounts of the firm.

3. Right to Sue for Benefits:

If not given his share, he can file a suit to claim benefits when he becomes major.

◆ Liabilities of a Minor Partner:

1. Limited Liability:

Minor's liability is limited to his share in the firm's property and profits.

2. No Personal Liability:

He is not personally liable for firm's debts.

◆ Upon Attaining Majority (Within 6 Months):

A minor, on becoming major, must decide whether to become a partner or not, and give a public notice under Section 30(5).

If he elects to become a partner:

He becomes personally liable for all acts done since he was admitted to benefits of the firm.

If he elects not to become a partner:

His liability ends with public notice.

◆ **Case Law:**

S.C. Mandal v. Krishnan – A minor admitted to benefits cannot be made personally liable for firm debts even if his name appears

Summary Table (Quick Reference)

Aspect	Holding Out	Minor in Partnership
Nature	Legal Doctrine	Statutory Provision (Sec. 30)
Role	Not a real partner but liable	Not a full partner
Liability	Personal liability if held out	Limited to share in the firm
Consent Needed	Yes, representation or silence	Yes, from all partners
Right to Profits	No	Yes
Personal Liability	Yes	No
Public Notice (on Majority)	Not applicable	Mandatory within 6 months

Dissolution of a Firm

(Indian Partnership Act, 1932 – Sections 39 to 47)

◆ **Definition (Section 39):**

> "Dissolution of firm means the discontinuance of the partnership relationship between all the partners of a firm."

It ends the existence of the firm as a business entity.

It is different from retirement or reconstitution, where the firm continues with changed partners.

◆ **Modes of Dissolution of FIR**

➤ **Without the Order of Court**

1. By Agreement (Sec. 40)

Partners may dissolve the firm mutually by a contract.

2. By Compulsory Dissolution (Sec. 41)

When business becomes illegal, or When all partners (except one) are declared insolvent.

3. By Contingency (Sec. 42)

On happening of specific events:

Expiry of fixed term, Completion of project, Death or insolvency of a partner.

Occurrence of agreed event

4. By Notice (Sec. 43) – Applicable to Partnership at Will

Any partner may dissolve the firm by written notice to other partners.

➤ **By the Order of Court (Section 44)**

On suit by a partner, the court may order dissolution if:

- Insanity of a partner
- Permanent incapacity

- Misconduct (affecting the business)
- Persistent breach of agreement
- Losses in business
- Just and equitable cause (e.g., deadlock, loss of mutual trust)

◆ **Effects of Dissolution**

Winding up of business

Settlement of accounts (Sec. 48)

Assets are sold, and liabilities paid, Surplus (if any) is distributed among partners.

◆ **Case Law:**

Garner v. Murray (1904) – On dissolution, if a partner is insolvent, the loss is shared by solvent partners in capital ratio, not profit-sharing ratio.

✅ **2. Effect of Non-Registration of Firm**

(Section 69, Indian Partnership Act, 1932)

◆ **Meaning of Registration**

Partnership registration is optional under Indian law.

But non-registration leads to legal disabilities.

◆ **Legal Effects of Non-Registration**

1. No Suit by Firm Against Third Parties (Sec. 69(2))

A non-registered firm cannot sue any outsider to enforce a right under a contract.

2. No Suit by Partner Against the Firm (Sec. 69(1))

A partner cannot sue the firm or other partners to enforce rights arising from the partnership agreement.

3. No Right to Set-Off

The firm cannot claim a set-off or counterclaim in a suit against it.

◆ **Exceptions to the Rule**

- Firms with No Place of Business in India
- Suits for Dissolution of Firm
- Suits for Realisation of Property after Dissolution
- Firms with value of claim below ₹100
- Third Party Suits against the Firm – Permitted, even if the firm is unregistered.

◆ **Case Law:**

K.C. Dutt v. Shamlal (1936) – An unregistered firm cannot file a suit for recovery of money due from a customer.